

China: Trade growth picked up in August

Exports in USD terms grew by 25.0% y-o-y in August (Consensus: 25.9%; Nomura: 22.2%), roughly in line with expectations and up from 23.9% in July. Import growth also rose to 28.2% in August from 27.5% in July, slightly below market expectations (Consensus: 31.0%; Nomura: 29.1%). As a result, the trade surplus widened to USD119.1bn in August from USD112.3bn in July, the second highest monthly reading on record. The semiconductor supercycle remains the dominant driver of both export and import growth, with price effects playing an important role. Imports of crude oil continued to contract heavily, which suggests Beijing remains cautious about resuming crude imports while prices are elevated. We expect the momentum of both import and export growth to continue in coming months.

Surging chip prices remain the key driver

The tentative moderation in the semiconductor price effects that we flagged last month proved to be short-lived. Growth of integrated circuit (IC) exports in value terms rose to a fresh cycle high of 130.6% y-o-y in August from 116.8% in July, while in volume terms it turned sharply negative at -8.0% (July: 1.9%), for the first meaningful real contraction of this cycle. The implied price contribution therefore jumped to 149.7pp from 112.6pp in July, comfortably exceeding June's previous peak of 123.3pp. In our view, the extraordinary price effects of this cycle have not yet shown any signs of having peaked.

We estimate ICs contributed 7.2pp to headline export growth in August, up from 6.5pp in July and equivalent to 28.8% of the total. Together with automatic data processing (ADP) equipment, the export growth of which has risen for two consecutive months to 77.0% y-o-y and contributed an additional 4.1pp, AI-related exports accounted for 11.3pp, or 45.2%, of total export growth. Notably, the AI-related contribution rose by 1.3pp while headline export growth rose by only 1.1pp, meaning AI-related products accounted for more than all of August's export acceleration.

The same pattern was even more pronounced on the import side, where the chip cycle intensified rather than cooled. Growth of IC imports in value terms rose to a cycle high of 83.6% y-o-y in August from 71.1% in July, and ICs alone contributed 13.6pp to headline import growth, up from 11.9pp and equivalent to 48.2% of the total, from 43.3% in July. Import growth from South Korea rose above 100% for the first time, to 108.1% y-o-y in August from 97.9% in July. By contrast, the resumption of crude oil purchases stalled: in volume terms, crude oil import growth came in at -23.4% y-o-y in August, little changed from -24.3% in July, suggesting Beijing remains distinctly cautious about rebuilding crude imports while prices stay elevated.

Export growth remains strong across major destinations

On DM, export growth to the US jumped to 34.9% y-o-y in August from 17.1% in July, due mainly to a low base, as US-bound export growth was recorded at -33.2% y-o-y in August 2025, marking the second lowest monthly print in 2025. Amid escalating China-EU trade tensions, export growth to the EU slowed markedly to 6.8% y-o-y in August from 16.2% in July. Amid the global AI super cycle and booming semi trade along the regional supply chain, export growth to South Korea advanced further to 49.9% y-o-y in August from 47.0% in July. As China-Japan tensions linger, export growth to Japan fell to 8.1% y-o-y in August from 14.5% in July.

On EM, export growth to ASEAN remained elevated in August, albeit moderating to 30.7% y-o-y from 38.5% in July. In the first seven months of this year, China export growth to the US and ASEAN stood at 6.2% and 25.8% y-o-y, respectively, with the single month year-on-year growth at 17.1% and 38.5% in July. Assuming their 2026 annual growth matches the year-on-year growth in the first seven months, China's exports to ASEAN could reach about USD840bn in 2026, which is nearly double the projected exports to the US.

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Elsewhere, export growth to Russia, Brazil and India increased to 38.6% y-o-y, 25.6%, and 17.0%, respectively, in August from 35.3%, 15.4% and 14.1% in July. Export growth to Africa and LatAm increased to 30.9% y-o-y and 17.5%, respectively, in August from 18.2% and 13.9% in July.

US-China trade remains largely stable ahead of the Washington summit

With a jump in export growth to the US, import growth from the US also increased in August but less significantly to 18.9% y-o-y from 15.4% in July. Therefore, China recorded a USD29.4bn trade surplus with the US in August, well above the USD20.3bn recorded in August 2025.

On 23 July, the Trump administration announced a set of new Section 301 tariffs on 60 economies, including 12.5% on China, as a substitute for the section 122 tariffs, under which China was subject to a 10% tariff rate. On net, this would increase the US tariffs on China by 2.5pp. According to a *Bloomberg* report on 24 August, the US is set to impose another overcapacity tariff of 7.5% on China. If the overcapacity tariff is implemented, the tariff on China would return to 32%, which is consistent with the pre-SCOTUS level and the level agreed upon by both sides to maintain (i.e., a net increase of 20% under Trump 2.0). With deeply negative US-bound export growth in H2 2025, base effects will remain supportive in H2 2026. The new Board of Trade will likely reciprocally lower tariffs on about USD30bn worth of non-sensitive goods, but it only covers about 10% of China's exports to the US.

A critical moment for the EU-China trade relations

In August, China's export growth to the EU declined markedly to 6.8% y-o-y from 16.2% in July, while import growth from the EU remained largely stagnant at 0.7% y-o-y in August, little changed from -1.4% in July. As such, China's trade surplus from the EU still widened to USD32.1bn in August from USD28.9bn a year ago. For 2025, the annual trade surplus from the EU had already amounted to USD292bn, 18.1% higher than in 2024. In the first eight months of this year, the pace has accelerated to 23.1% y-o-y, pointing to worsening trade imbalance between these two economies.

The EU trade chief Maroš Šefčovič has warned China that it will face harsher measures and potential market closure if trade talks fail to yield concrete results by October (details see *EU-China trade tensions: The slow burn accelerates*, 13 July 2026.) In response, China's Ministry of Commerce strongly pushed back and condemned the EU's use of market closure threats in bilateral trade talks. With the October deadline looming, the coming weeks will be crucial for EU-China trade relations in particular and the outlook for China's export sector in general.

Growth of electrical product exports remained highly robust in August

Growth of electronic product exports in value terms remained extremely strong amid the global AI upcycle, primarily driven by price effects rather than volumes. Growth of integrated circuit exports increased to 130.6% y-o-y in August from 116.8% in July, as global chip prices remained elevated. Export growth of automatic data processing (ADP) equipment and components (mainly computers and parts thereof) increased further to 77.0% y-o-y in August (July: 67.9%). Growth of mobile phone exports rose to 29.8% y-o-y in August from 27.1% in July, which was still supported by price effects due to surging input costs.

On transport equipment, growth of auto exports (including chassis) moderated to 43.2% y-o-y in August from 60.3% July, still strong amid rising global demand for EV cars. Growth of auto spare part exports also declined to 7.4% y-o-y in August from 13.7% in July. Growth of ship exports slowed sharply to 21.2% y-o-y in August from 94.3% in July.

Export growth of labour-intensive products broadly improved in August. In particular, export growth of clothing, shoes, bags and toys came in at 12.3% y-o-y, 11.4%, 11.1% and 15.3%, respectively, in August, up from 8.5%, 2.7%, 7.3% and -1.7%, in July.

Import growth rose on semiconductor trade

Import growth also increased to 28.2% in August from 27.5% in July, slightly below market expectations (Consensus: 31.0%; Nomura: 29.1%), as price effects from AI-related tech products continued to contribute notably.

Non-oil ordinary imports value growth moderated to 23.2% y-o-y in August from 27.6% in July. Value growth of processing and assembly imports declined to 45.5% y-o-y in August from 46.8% in July. Growth of integrated circuits imports in value terms increased to 83.6% y-o-y in August from 71.1% in July, while in volume terms, it moderated to 6.7% y-o-y from 8.4%.

On crude oil imports, value growth dropped to -8.8% y-o-y in August from -4.6% in July. In volume terms, it edged up marginally to -23.4% y-o-y in August from -24.3% in July, which suggests Beijing remains distinctly cautious about rebuilding crude imports while prices stay elevated.

Import volume growth for other key commodities was mixed in August. Volume growth of coal imports declined to -1.5% y-o-y in August from 20.0% in July, while growth of soya bean imports edged up to 0.3% from -0.2%. Volume growth of iron ore imports edged down marginally to 3.2% y-o-y in August from 3.3% in July. Volume growth of copper imports rose slightly to -11.2% y-o-y in August from -12.5% in July.

Fig. 1: Merchandise trade related indicators

Merchandise trade related indicators	Aug 26	Jul 26	Q2 26	Q1 26	2025	2024
Exports (% y-o-y)	25.0	23.9	20.1	14.7	5.4	5.8
By destination: the US	34.9	17.1	20.1	-16.3	-20.0	4.9
European Union	6.8	16.2	13.1	21.1	8.4	3.0
Japan	8.1	14.5	7.3	6.9	3.5	-3.5
ASEAN	30.7	38.5	25.1	20.5	13.4	12.0
Imports (% y-o-y)	28.2	27.6	29.4	23.5	0.3	1.0
By origin: the US	18.9	15.4	18.6	-17.6	-14.6	-0.1
By type of trade:						
Ordinary imports	16.1	21.4	11.8	11.8	-4.2	-3.1
Non-oil ordinary imports	23.2	27.7	19.0	16.4	-3.1	-2.8
Crude oil imports	-8.8	-4.6	7.0	-4.7	-8.8	-3.9
Processing & assembly imports	45.5	46.8	43.5	34.8	11.9	5.7
Commodities, in volume terms						
Crude oil	-23.4	-24.3	-30.3	8.9	4.4	-1.9
Iron ore	3.2	3.3	2.3	10.5	1.8	4.9
Copper	-11.2	-12.5	3.8	-14.2	-6.4	3.4
Coal	-1.5	20.0	2.1	1.3	-9.6	14.4
Soybeans	0.3	-0.2	4.1	-3.1	6.5	5.7
Trade balance (USD bn)	119.1	112.3	315	260	1180	993
By destination: the US	29.4	28.4	76	49	280	361

Source: General Administration of Customs, Wind, Nomura Global Economics

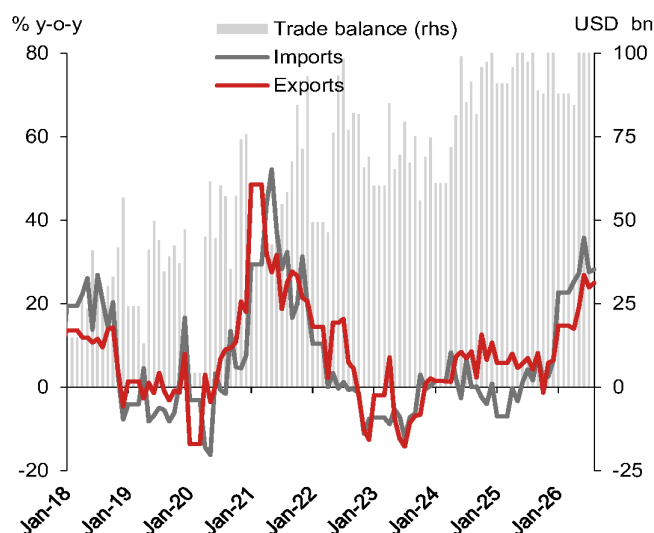
Fig. 2: Export by key product

Major export goods (in USD terms)	Aug 26	Jul 26	Q2 26	Q1 26	2025	2024		Aug 26
	y-o-y, %							Contribution to export growth (pp)
Vehicle								
Motor vehicles and chassis	43.2	60.3	50.4	58.5	21.4	15.5		1.72
Automobile spare parts	7.4	13.7	10.2	4.7	2.5	6.6		0.20
Electrical products								
Automatic data processing equipment and components	77.0	67.9	55.3	26.7	-1.4	9.9		4.12
Integrated circuits	130.6	116.8	111.4	77.5	26.6	17.3		7.20
Mobile phones	29.8	27.1	27.0	-4.7	-9.4	-3.2		0.63
Audio-video equipment and parts	12.3	12.0	13.1	13.2	5.5	4.6		0.13
Liquid crystal display panels	-2.9	-0.8	0.4	15.3	11.0	9.0		-0.03
Mechanical products								
Universal mechanical equipment	15.2	31.5	4.6	7.1	6.1	14.2		0.26
Ships	21.2	94.3	15.9	48.7	27.0	57.3		0.36
Medical devices	13.0	12.9	16.4	11.5	6.0	7.0		0.07
Property-related products								
Ceramic products	-25.7	-41.8	-52.6	9.2	-3.3	-15.7		-0.13
Home electric appliances	10.8	6.6	10.6	1.5	-3.9	14.0		0.28
Lighting and parts	14.3	2.3	-11.7	-5.3	-12.4	-0.2		0.13
Furniture and parts	11.8	11.2	2.3	3.0	-6.2	5.7		0.17
Commodities & industrial products								
Steel products	10.5	5.3	-0.4	-10.8	-1.3	-1.1		0.22
Unwrought aluminum and aluminum products	38.4	44.8	48.0	16.5	-3.3	15.2		0.22
Petroleum products	85.4	15.9	24.4	3.6	-8.5	-13.3		0.92
Rare earth	33.7	43.0	202.1	-9.0	4.6	-36.0		0.01
Agricultural products	13.4	9.2	9.5	5.3	1.1	4.1		0.34
Aquatic products	0.0	-2.7	3.3	-3.8	0.0	1.3		0.00
Grain	16.3	-7.7	-9.2	8.8	27.3	-18.9		0.01
Fertilizers	-61.9	-75.8	-16.4	22.6	57.9	-11.5		-0.36
Chinese herbs & medicines	-12.4	18.3	13.2	10.8	-7.2	-0.4		0.03
Labor intensive products								
Plastic products	15.2	16.4	12.8	7.5	-1.4	5.2		0.41
Bags & containers	11.1	7.3	-4.7	-1.1	-13.5	-3.3		0.08
Garments and clothing accessories	12.3	8.5	-0.9	-0.4	-5.0	0.0		0.54
Footwear	11.4	2.7	-9.1	-8.0	-11.3	-5.0		0.12
Toys	15.3	-1.7	-8.4	-14.8	-12.7	-1.7		0.15
Textile, yarn and fabrics	2.4	6.4	4.2	2.8	0.4	5.5		0.09
Electrical-mechanical products	32.9	33.9	27.4	21.4	8.3	7.4		20.22
Hi-tech products	57.1	52.9	47.6	28.6	7.4	4.7		14.08

Note: Key products are recombined items by HS code. Agricultural, electrical-mechanical and high-tech products are broader categories that may overlap with each other and other key products.

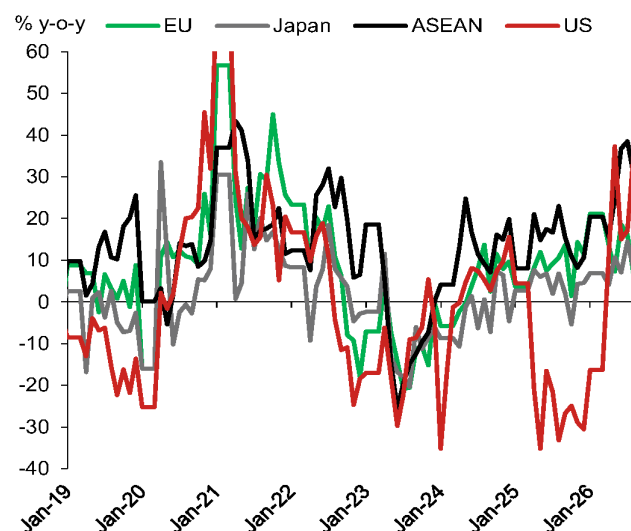
Source: General Administration of Customs, Nomura Global Economics.

Fig. 3: Export growth, import growth and the trade balance



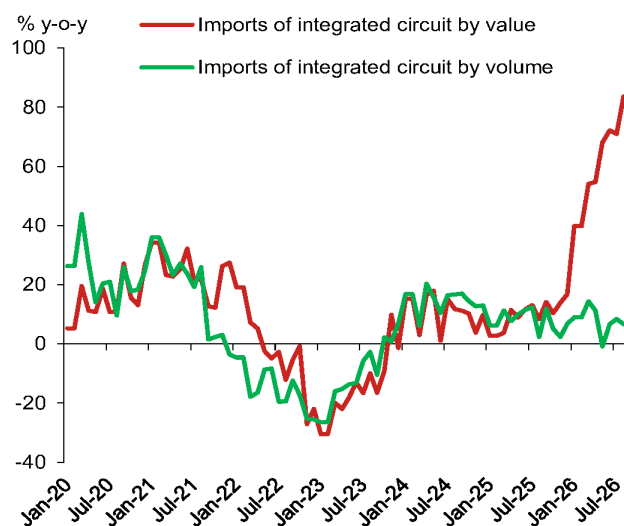
Note: We use the average of January-March data to largely smooth out the CNY distortions.
Source: General Administration of Customs, Wind, Nomura Global Economics

Fig. 4: Breakdown of exports by destination



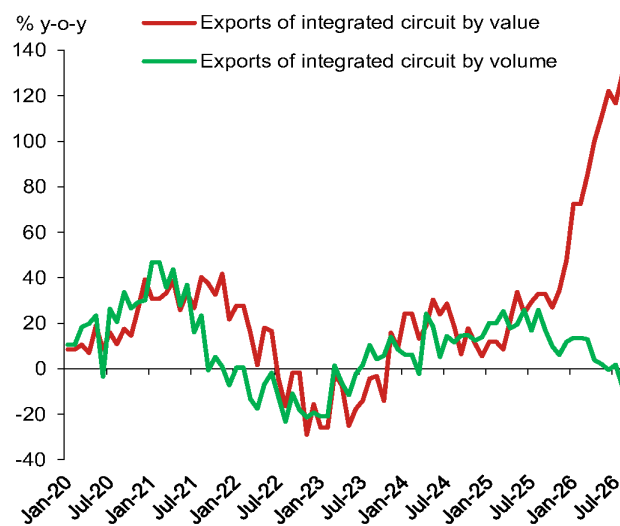
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Source: General Administration of Customs, Wind, Nomura Global Economics

Fig. 5: Growth of integrated circuit imports — a sharp divergence between value growth and volume growth



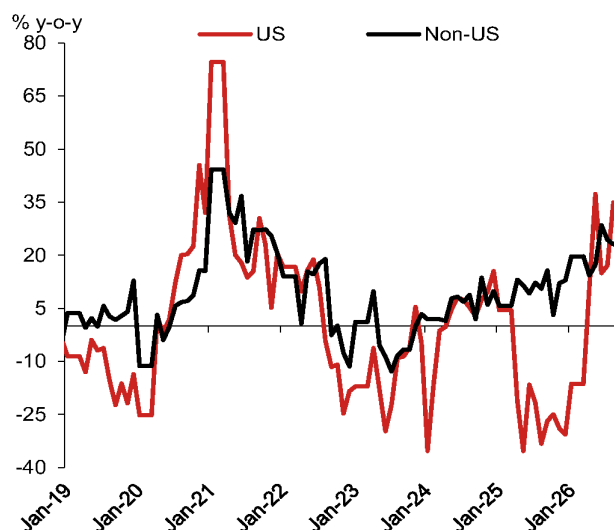
Source: General Administration of Customs, Wind, Nomura Global Economics

Fig. 6: Growth of integrated circuit exports — a huge divergence between value growth and volume growth



Source: General Administration of Customs, Nomura Global Economics

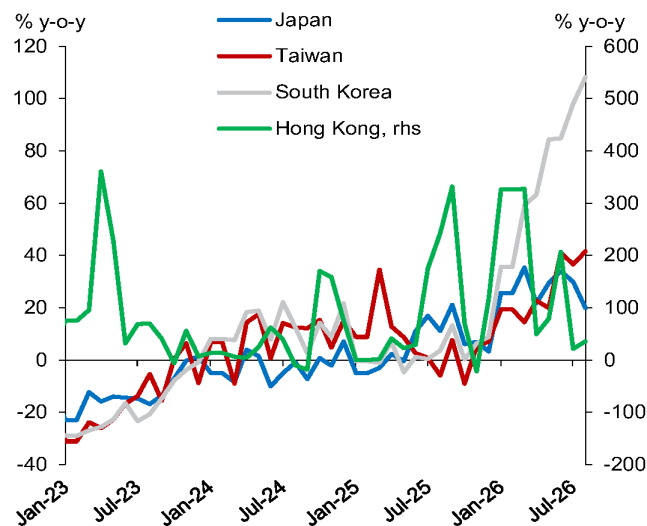
Fig. 7: Export growth to the US and non-US destinations



Note: We use the average of January-March data to largely smooth out the CNY distortions.

Source: General Administration of Customs, Wind, Nomura Global Economics

Fig. 8: Breakdown of imports by type of trade



Source: General Administration of Customs, Wind, Nomura Global Economics

Appendix A-1

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